EU green rules 'will destroy European aviation and the planet' airline CEO warns

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By Tommaso Lecca · Oct 9, 2026, 7:00 AM · View in your browser

BRUSSELS — EU climate policies will "destroy aviation in Europe" and hand European air traffic to foreign airlines, IAG CEO Luis Gallego said Thursday.

Speaking after an airline lobby event in Brussels, Gallego said rising compliance costs with EU sustainability rules could threaten the financial viability of some European carriers already struggling with high jet fuel prices.

Non-EU airlines — not subject to the bloc's stringent climate rules — would ultimately take over routes European carriers could no longer afford to serve, he warned, arguing that this would lead to an overall increase in emissions.

"At the end, we are going to destroy aviation in Europe and after that the planet," added Gallego, whose IAG group owns British Airways and Iberia, among others.

European airlines warn they are facing high jet fuel prices linked to disrupted oil shipments through the Strait of Hormuz, as well as rising costs from two EU climate policies: the Emissions Trading System, which prices carbon emissions, and ReFuelEU Aviation, which requires carriers to use increasing shares of more expensive sustainable aviation fuels.

Expanding the ETS

The growing burden is already evident at Aer Lingus, an IAG carrier that recently announced plans to cut up to 500 jobs. Gallego said its sustainability costs are expected to increase sixfold between 2023 and 2029.

"When you are a medium-sized company and you compound the fuel price plus sustainability cost, labor … then you have a difficulty to survive," he said.

EU policies could make "sustainability the third-largest cost for a European airline after personnel and fuel," Gallego said at a press conference hosted by the Airlines for Europe lobby group. Other airline executives echoed his concerns.

One of the industry's main targets is the Commission's proposal to extend the ETS to international flights bound for destinations within 5,000 kilometers of Frankfurt — used as a reference point due to its central position in the EU — from 2029. If EU governments and the European Parliament approve it, the

carbon pricing system, which today only applies to flights within Europe, would also cover flights to non-EU countries in North Africa and the Middle East.

“We don’t like that tax already today, but [the status quo is] much better than extending it,” said Benjamin Smith, CEO of Air France-KLM. “If it’s not going to go away, leave it as it is,” he added.

Airlines want ETS compliance costs aligned with those under the U.N. aviation agency ICAO’s Carbon Offsetting and Reduction Scheme for International Aviation, or CORSIA. The EU considers CORSIA insufficient to meet its climate objectives.

The ETS scope extension “helps safeguarding the level playing field and the competitiveness of EU airport hubs and EU (especially network) airlines, while enabling the increase of the support for sustainable aviation fuels,” a European Commission official, granted anonymity to discuss the matter freely, said earlier this week in response to similar criticism from the International Air Transport Association.

They added that “extending the ETS to the EU’s immediate neighbourhood is a gradual step in increasing climate action in the sector.”

But airline chiefs stressed that rising ETS compliance costs come on top of high jet fuel prices, which are already eroding their profits.

“This year, the margin of all the airlines is going to be around 2%,” Gallego said. Fuel, which accounts for a quarter of airlines’ operating costs, has doubled in price since before the war in the Middle East, he added.

If jet fuel prices remain at current levels, airlines will have to raise ticket prices. “You don’t have any other alternative because [otherwise] you’re going to lose a lot of money,” he said.

Sustainable fuels headaches

Airline executives also renewed calls to postpone EU sustainable fuel mandates, which they argue are becoming increasingly difficult to meet, particularly those covering synthetic sustainable aviation fuel, known as e-SAF.

Under the ReFuelEU Aviation regulation, e-SAF must account for an average of at least 1.2% of aviation fuel supplied at EU airports between 2030 and 2031 — with a minimum share of 0.7% each year, further increasing from 2032.

But no commercial-scale e-SAF production project in the EU has yet secured the investment needed to begin construction, raising concerns about whether enough fuel will be available to meet the mandate.

Fuel suppliers that fail to comply will face penalties, which airlines believe will ultimately be passed on to them. “It’s impossible to comply with the mandate,” Gallego said.

He warned that passengers would ultimately bear the costs. “At the end we have penalties that we need to translate to the consumers.”

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